

October 2, 2026 04:59 AM GMT

China Financials | Asia Pacific

Tracking industrial risks: good control on capacity expansion and risks paves the way for dedicated de-leveraging

Key Takeaways

- We see further decline in overcapacity risks as manufacturing FAI fell 2.3% yoy while nominal IP (a proxy for industrial demand) grew 9.7% yoy.
- Exports growth accelerated to 25% yoy vs. 23.9% last month. Manufacturing value added also rose 6.1% yoy vs. 5.5% last month.
- PPI grew 0.4% MoM and 3.8 YoY, and together with strong exports growth, supported healthy manufacturing revenue growth at 7.2% yoy, up from 7% in July.
- YTD manufacturing profit growth remained strong at 17.4% yoy with further rebound in gross margin despite some MoM slowdown on lower investment gains.
- We believe the better than expected control of overcapacity risks should pave the way for dedicated de-leveraging efforts and more sustainable financial system.

Strong manufacturing profit growth with healthy profitability distribution across sub-sectors. Sectors with notable price rebounds still posted strong profit growth, including chemicals, chemical fibers, and fuel processing. Electronic devices also recorded leading profit growth (+109% yoy). However, divergence exists: alcohol, wood, furniture and non-metal mineral manufacturing saw 30-40% yoy profit declines. Overall, 37% of sectors (by liabilities) saw profitability improvement, 43% stayed relatively stable, and 20% deteriorated. We believe this could help steady industrial risk digestion when industries move through different cycles.

Further declines in FAI-IP gap amid more anti-involution initiatives from policy makers. August marked the 12th consecutive month of negative FAI-IP gap, with 86.6% of sectors (by liabilities) seeing capex slowdown. We moved textile to capex slowing from accelerating as its FAI-IP gap has narrowed to ~0% from 13% in 1H25 and 14% in early 2026. Despite the drag on near-term credit demand, we continue to believe the rationalization pace of manufacturing growth is more sustainable for the China financial system.

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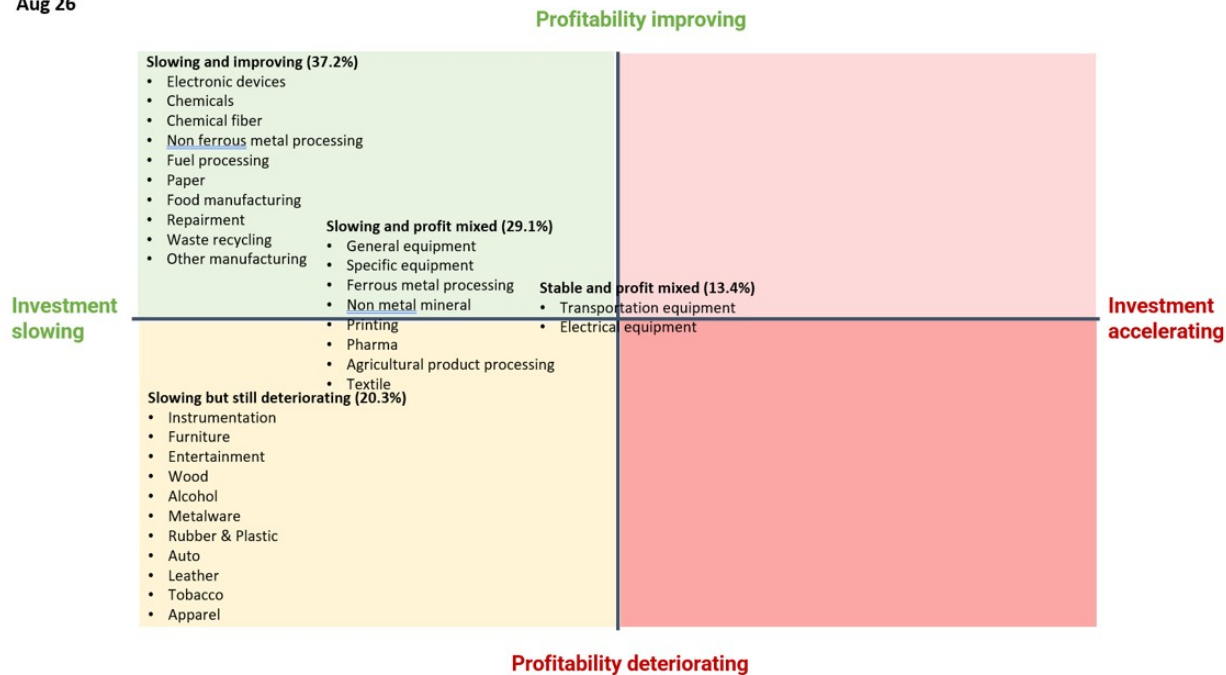
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Charts

Exhibit 1: 86.6% (in terms of liabilities) of sectors slowed capex in August 2026; 37% of sectors showed better profit trends in July

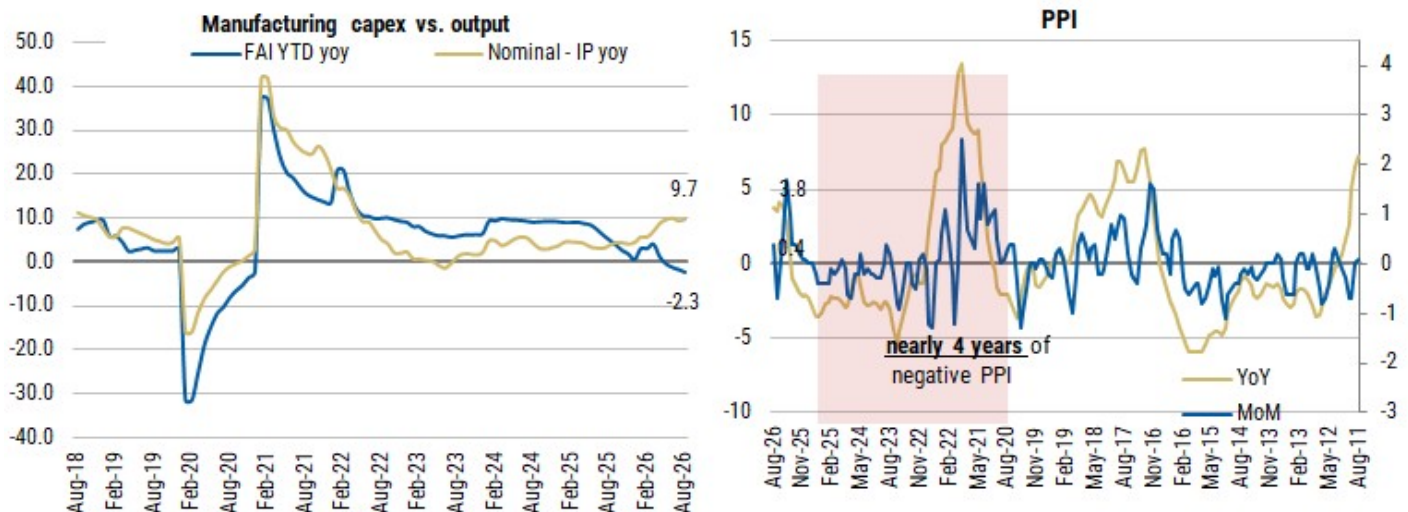
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Note: number in () represents their mix in total manufacturing liabilities

Source: NBS, CEIC, Morgan Stanley Research. Note: number in () represents their mix in total manufacturing liabilities.

Exhibit 2: Manufacturing FAI-IP gap was -12%, further down 1% from -11% last month, with accelerated nominal IP growth based on monthly PPI and further declined FAI; PPI rose 0.3% MoM and 3.8% YoY.



Source: NBS, CEIC, Morgan Stanley Research

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/30/2026)
Chiyao Huang		
China International Capital Corp. Ltd. (3908.HK)	O (02/28/2025)	HK\$19.56
China Merchants Securities Co Ltd (600999.SS)	U (09/29/2022)	Rmb17.07
China Merchants Securities Co Ltd (6099.HK)	U (10/29/2024)	HK\$14.52
CITIC Securities Co. (6030.HK)	O (07/10/2026)	HK\$24.40
CITIC Securities Co. (600030.SS)	O (08/07/2025)	Rmb25.86
East Money Information Co Ltd (300059.SZ)	U (09/22/2026)	Rmb17.79
Futu Holdings Ltd (FUTU.O)	O (11/18/2024)	US\$106.43
Galaxy Securities (6881.HK)	E (02/27/2020)	HK\$7.18
Galaxy Securities (601881.SS)	U (09/29/2022)	Rmb11.59

GF Securities (000776.SZ)	O (09/22/2026)	Rmb19.88
GF Securities (1776.HK)	O (09/22/2026)	HK\$17.01
HTSC (601688.SS)	E (09/23/2024)	Rmb17.80
HTSC (6886.HK)	E (09/23/2024)	HK\$16.66
Richard Xu, CFA		
Agricultural Bank of China Limited (601288.SS)	E (05/07/2019)	Rmb6.97
Agricultural Bank of China Limited (1288.HK)	O (10/19/2020)	HK\$6.63
Bairong Inc. (6608.HK)	E (09/09/2025)	HK\$4.91
Bank of Beijing Co Ltd (601169.SS)	E (08/17/2022)	Rmb5.57
Bank of Chengdu Co Ltd (601838.SS)	O (08/17/2022)	Rmb19.31
Bank of China Limited (601988.SS)	E (05/07/2019)	Rmb6.73
Bank of China Limited (3988.HK)	O (01/10/2020)	HK\$6.09
Bank of Communications (3328.HK)	U (05/20/2022)	HK\$8.36
Bank of Communications (601328.SS)	U (09/05/2014)	Rmb7.75
Bank of Hangzhou Co Ltd (600926.SS)	E (08/17/2022)	Rmb17.11
Bank of Ningbo Co. Ltd (002142.SZ)	O (08/17/2022)	Rmb35.43
China CITIC Bank Corporation Limited (601998.SS)	E (04/16/2025)	Rmb9.10
China CITIC Bank Corporation Limited (0998.HK)	O (04/16/2025)	HK\$8.58
China Construction Bank Corp. (0939.HK)	O (10/11/2012)	HK\$9.82
China Construction Bank Corp. (601939.SS)	E (05/07/2019)	Rmb11.06
China Everbright Bank Co Ltd (6818.HK)	U (05/12/2023)	HK\$2.83
China Everbright Bank Co Ltd (601818.SS)	U (05/20/2022)	Rmb3.04
China Merchants Bank (600036.SS)	O (01/07/2019)	Rmb41.26
China Merchants Bank (3968.HK)	O (09/20/2018)	HK\$51.50
China Minsheng Banking Corp. (600016.SS)	O (08/28/2025)	Rmb3.51
China Minsheng Banking Corp. (1988.HK)	O (05/12/2023)	HK\$3.47
Chongqing Rural Commercial Bank (3618.HK)	U (05/12/2023)	HK\$6.30
Hua Xia Bank (600015.SS)	U (06/30/2015)	Rmb6.27
Industrial and Commercial Bank of China (1398.HK)		HK\$7.71
Industrial and Commercial Bank of China (601398.SS)		Rmb8.28
Industrial Bank Co. Ltd. (601166.SS)	O (02/25/2019)	Rmb18.05
Lufax (LU.N)		US\$1.19
Ping An Bank (000001.SZ)	O (05/07/2019)	Rmb11.57
Postal Savings Bank of China Co Ltd (1658.HK)	O (11/01/2016)	HK\$5.54
Qfin Holdings, Inc. (QFIN.O)	E (08/26/2026)	US\$6.47
Shanghai Pudong Development Bank (600000.SS)	E (08/05/2025)	Rmb9.48

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.